

VCYT · FY2026 Q1

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Veracyte, Inc. · 45 turns · 12 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Rebecca Chambers

Chief Financial Officer

Dr. John Light

Chief Commercial Officer

Lauren

Analyst, Jefferies & Co.

Mason Carrico

Analyst, Stephens

Subbu Nambi

Analyst, Guggenheim

Kelly Gurra

Director of Investor Relations

Doug Schenkel

Analyst, Wolf Research

Kyle Mixon

Analyst, Canaccord Genuity

Mark Stapley

Chief Executive Officer

Puneet Sudha

Analyst, LeRinc Partners

Unknown**OPERATOR** Operator

Good day and thank you for standing by. Welcome to Verisight first quarter 2026 financial results webcast call. At this time, all participants are in a listen only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during the session, you will need to press star 1 1 on your telephone. You will then hear an automated message advising you your hand is raised. To withdraw your question, please press star 1 1 again. Please be advised that today's conference is being recorded. I would now like to hand the conference over to your first speaker today, Kelly Gurra, Director of Investor Relations.

KELLY GURRA Director of Investor Relations

Good afternoon, everyone, and thank you for joining us today to review Verisight's first quarter 2026 financial results. Joining me on the call are Mark Stapley, our Chief Executive Officer, and Rebecca Chambers, our Chief Financial Officer. Dr. John Light, our chief commercial officer, will also be available for Q&A. Earlier this afternoon, we issued a press release detailing our first quarter financial results, and we posted an accompanying presentation in the investor section of our website. Before we begin, I'd like to remind you that statements we make during this call will include forward-looking statements as defined under applicable securities laws. Forward-looking statements are subject to risks and uncertainties and the company can give no assurance they will prove to be correct. Additionally, we are not under any obligation to provide further updates on our business trends or our performance during the quarter. To better understand the risks and uncertainties that could cause actual results to differ, we refer you to the documents that VeriSight files with the Securities and Exchange Commission, including the most recent forms 10-Q and 10-K. In addition, this call will include certain non-GAAP financial measures, Reconciliation of these measures to the most directly comparable DAP financial measures are included in today's earnings release accessible from the investor's section of Verisight's website. I'm also pleased to highlight Verisight's newly redesigned website, which makes it easier to access information on our test portfolio, including a publication search tool to help navigate our extensive and growing clinical evidence base. I will now turn the call over to Mark Stapley, Verisight's CEO.

MARK STAPLEY Chief Executive Officer

Thank you, Kelly, and thank you all for joining us today. We had an excellent start to 2026. In the first quarter, we delivered strong double-digit revenue and volume growth, exceeded our profitability expectations, and continued advancing key catalysts that position us well for long-term growth. This quarter highlights years of disciplined execution that have transformed VeriSight into a stronger, more focused, scalable company. Five years ago, we set out to make Decipher a commercial success, grow our core franchises, expand operations, enhance clinical evidence, and build a strong pipeline. We revitalized the firm, made Decipher the top prostate cancer gene expression test, increased lab capacity threefold, improved turnaround time and the no result rate, and surpassed the 25% adjusted EBITDA margin. Today, Verisight is a diversified, profitable company with a unique platform, multiple growth drivers, expanding clinical evidence, and strong clinician relationships, all achieved through consistent strategic execution. Now, we believe we're approaching an inflection point that will shape the next five years for VeriCyt. We're on the cusp of our two most significant product launches since Afirma. First, Prosigna LDT, supported by the Optima trial with a key presentation at ASCO in June, and second, TruMRD, launching initially in muscle-invasive bladder cancer. Together, these launches will expand our addressable market, extend our platform into new clinical settings, and position us for what we expect will be an even more transformative next five years for Verisight and the industry. I will spend time discussing both of these growth catalysts shortly, but first, turning to our core business. Starting with Decipher. Since our acquisition in early 2021, the business has delivered consistent growth of more than 20% quarter after quarter. That momentum continued in the first quarter as we delivered approximately 28,000 tests, representing 24% year-over-year volume growth. This strong performance was driven by continued expansion in ordering providers and orders per physician, and it reflects Decipher's differentiated position as the only gene expression test supported by high-quality clinical evidence and inclusion in NCCN guidelines, advantages that continue to drive adoption across the full spectrum of prostate cancer risk. Over the last few quarters, we've seen particularly strong traction in advanced disease, where we believe there remains significant opportunity for Decipher. In the first quarter, we delivered nearly 30% growth across high-risk categories, including radical prostatectomy, biochemical recurrence, and metastatic disease. As we see more evidence supporting the use of Decipher in patients with advanced disease, we expect to see continued growth over time. We're excited about upcoming results from the ENZOMET phase three trial, which will assess Decipher's ability to identify metastatic patients who benefit from triplet therapy. Those data will be featured in an oral presentation at ASCO later this month. ENZOMET is one part of a broader evidence pipeline that continues to advance. Four phase three trials evaluating Decipher prostate in treatment intensification and de-intensification have now completed enrollment, including the guidance trial, which reached that milestone in the first quarter meaningfully ahead of schedule. Guidance includes more than 2,000 patients and is designed to evaluate how the Decipher score can function as an integral biomarker to guide treatment decisions for men with unfavorable intermediate-risk prostate cancer. PREDICT-RT has a similar goal in high-risk disease. These studies move beyond prognostic validation to prospectively demonstrate real-world clinical utility in forming treatment choices. We believe they can support high-level evidence standards for guideline and coverage. While advanced disease is a compelling growth factor, we also continue to see physicians leveraging Decipher in the low-risk setting. Since launch, we've delivered results for more than 80,000 patients in this population, creating a substantial real-world evidence database that continues to inform clinical utility. We believe there is a long runway to expand Decipher's role in active surveillance, supported by a growing body of evidence. Recent data published in European Neurology Oncology demonstrated this site's ability to stratify risk among patients undergoing active surveillance. And we were encouraged to see enrollment completed in G-major, a large prospective phase three randomized study evaluating how gene expression classifiers can inform active surveillance decisions. Taken together, these achievements and our robust pipeline of ongoing studies reflect more than a decade of sustained investment in evidence generation, and position us for a steady cadence of high-quality data readouts over the coming years. As our evidence base expands, we're also enhancing our clinical offerings. Through evidence generated using our Decipher Grid research use-only database, we're incorporating additional predictive biomarkers, including PAM50,

Orthos, and PTEN. Over time, we plan to add select biomarkers to the Decipher clinical report to further support informed decision-making in high-risk and advanced prostate disease. We are also advancing complementary initiatives in digital pathology and AI-powered analysis, which we view as complementary to molecular profiling. As previously shared, we've been scanning our Decipher database and are close to digitizing all historical slides for U.S. patients, more than 350,000 images. We plan to leverage this extensive dataset together with whole transcriptome data in collaborations with leading academic centers to better define where these technologies can add value in clinical practice. Across recent urology conferences, we have seen the field shifting toward biology-driven treatment strategies for bladder cancer, with Decipher Bladder emerging as a natural extension of our platform. This momentum will be on display at the upcoming AUA annual meeting, where six studies will be presented highlighting our Decipher Bladder portfolio's ability to advance personalized care in bladder cancer, including insights generated from our grid research use-only database. These presentations build on the strong Decipher Bladder data shared at ASCO-GU and support the early but growing adoption we're seeing in the field. Overall, we're very pleased with Decipher's start to the year. We believe the franchise is well-positioned with unmatched scale, depth of evidence, and commercial reach in urology. With only one in three men with prostate cancer in the U.S. currently benefiting from the insights that Decipher offers against the spectrum of disease, we believe it can continue to be a durable, long-term growth engine, and we see meaningful extensibility into bladder disease as an incremental growth driver in the coming years. Turning to Affirma, we delivered approximately 17,200 tests in the first quarter, representing 12% year-over-year volume growth. This reflects both solid demand across our customer base and strong execution on operational initiatives that improve patient access to actionable results. As we've discussed previously, we completed the full transition to our V2 transcriptome workflow in the fourth quarter, establishing a more scalable and cost-effective platform. Importantly, this transition has also enhanced our ability to deliver definitive results for a broader set of patients, including historically challenging low-input RNA samples. That momentum continued in Q1, with our no result rate improving both sequentially and year over year. As a result, more patients and physicians received actionable affirming results to guide clinical decision making, contributing approximately 400 basis points to our volume growth in the quarter. Encouragingly, we saw healthy new account wins, increased utilization, and a high number of ordering providers in the quarter, reflecting strong engagement and the effectiveness of our strategy. We remain focused on expanding the already robust clinical evidence foundation supporting Affirma. Through our Affirma grid research use only database, we continue to generate a steady cadence of new data and incorporate additional molecular signatures into the latest version of grid. We believe this growing data set increasingly reinforces the Affirma grid as a critical research use only tool to advance the understanding of thyroid nodules and thyroid cancer. Importantly, our commitment to evidence-backed research translates into real-world clinical and economic impact. A recent independent study analyzing Medicare payment data from 2016 to 2023 found that increased adoption of Affirma was associated with a meaningful reduction in thyroid surgery rates among Medicare beneficiaries. These findings highlight how Affirma test results help physicians more confidently rule out surgery when it isn't warranted, supporting better-informed treatment decisions, reducing overall healthcare costs, and helping patients avoid unnecessary surgery and its long-term consequences. The study also reinforced Affirma's position as the leading molecular test for indeterminate thyroid nodules. Taken together, Affirma's improving operational performance, expanding clinical evidence, and demonstrated real-world impact give us confidence in the franchise's ability to sustain healthy growth in 2026 and beyond. We believe our Affirma test remains well positioned to deliver value for patients, physicians, and payers while serving as a stable and durable growth engine within our portfolio. Building on the momentum across our core franchises, Procigna LDT represents one of two major upcoming product launches that we believe marks an important next phase of growth. Procigna is built on the well-established and scientifically validated PAN 50 signature and provides deeper insights into the biological classification of breast cancer. By reporting the risk of recurrence using intrinsic subtype and proliferation scores to get the 10-year probability of distant recurrence, Procigna is designed to inform treatment decisions at a critical point in a patient's care journey.

We see a significant opportunity in the U.S. market where approximately 225,000 breast cancer patients are diagnosed annually with early stage hormone receptor positive disease and are eligible for pro-sigma testing. This is a large clinically meaningful population where improved biological insight has the potential to enhance outcomes and help avoid unnecessary treatment. Clinical evidence will be a key driver of adoption, as it always is. We look forward to the upcoming presentation results from Optima, a large phase three randomized prospective trial enrolling approximately 4,500 patients. I'm pleased to share that this presentation has now been confirmed on the agenda for ASCO later this month. If positive, we believe these results could be practice changing and further strengthen Procigna's already robust clinical foundation. And beyond Optima, there are additional studies underway that we expect will continue to expand the evidence base and support share gains over time. We remain on track to commercially launch Procigna LDT by mid-year. In preparation, we're scaling our commercial and medical science liaison teams and deepening engagement with key opinion leaders. Our second major upcoming launch is TrueMRD, a whole genome sequence-based MRD platform and a key step in expanding into minimal residual disease. We remain on track to launch TrueMRD in MIBC by the end of the second quarter and plan to leverage the strength of the Decipher brand and our established commercial channels in urology and radiation oncology where we believe 70% of patients with MIB see a theme. Our initial focus will be on recurrence monitoring in patients who have completed curative intent therapy, representing the majority of patients treated in this setting. We believe the initial true MRD test launch addresses a significant unmet clinical need and represents an important proof point for our broader platform as we enter the large and growing MRD market. Early data and strong engagement from leading academic institutions reinforce our confidence that our TrueMRD platform's differentiated whole genome approach positions us well to drive adoption and capture meaningful share over time. The TrueMRD platform is highly scalable with applications well beyond bladder cancer. We're building an expanding body of clinical evidence with several studies completed across bladder, colorectal, and lung cancer, as well as additional indications. Our pipeline continues to grow with more than 10 studies currently in testing or analysis, 12 in contracting, and 29 in active planning spanning muscle invasive and non-muscle invasive bladder cancer, breast, lung, colorectal, prostate, and kidney cancer, as well as immunotherapy treatment response. We're also seeing growing external validation of this approach. At the recent American Association for Cancer Research annual meeting in San Diego, We hosted a spotlight theater focused on the clinical utility of the TrueMRD platform for tumor-informed ctDNA analysis. The session was well attended, underscoring the strong and growing interest in our differentiated approach to MRD. Investigators presented previously shared data from multiple large clinical trials, including Tombola, Umbrella, and Neoblast. As a reminder, Neoblast is the first prospective interventional study utilizing TrueMRD results and is designed to assess the feasibility of active surveillance in bladder cancer patients with negative CT DNA. As we expand our portfolio and advance our pipeline, we're also investing in the leadership and organizational capabilities required to support our next phase of growth. I'm pleased to welcome Dr. Kevin Haas, who recently joined Verisight as our Chief Development and Technology Officer. Kevin brings deep expertise in product innovation, development, and software. with a strong track record of translating complex science into clinically impactful solutions. His leadership will be instrumental as we continue to advance our product roadmap and extend our reach to more clinicians and patients globally. I'd also like to welcome Tracy Ward, our new Chief Human Resources Officer, who will play an important role as we scale the organization in helping us to grow our culture and people, key ingredients to our success. In closing, We believe Verisight is well-positioned with a long runway to deliver durable double-digit growth through execution of our long-term strategy. None of this would be possible without the execution of our team, and I'm proud of what they've accomplished as we reach more patients than ever before. With that, I'll now turn the call over to Rebecca to review our first call of financial results and walk you through our outlook for 2026.

REBECCA CHAMBERS Chief Financial Officer

Thanks, Mark. The first quarter was a very strong start to the year and reflects the disciplined execution and scale we've built over the past several years. We delivered total revenue of \$139.1 million, representing 21% year-over-year growth. Total volume increased to approximately 47,600 tests, up 17 percent compared to the same period in 2025, and we generated \$35.2 million of cash from operations, ending the quarter with \$439.1 million in cash, cash equivalents, and short-term investments. Testing revenue for the quarter was \$135.1 million, an increase of 26 percent year-over-year driven by Decipher and Affirma growth of 30% and 21% respectively. Total testing volume was approximately 45,200 tests, representing 19% growth year-over-year. Testing ASP was \$2,986, up 6% compared to the prior year, and inclusive of approximately \$4 million of prior period collections or PPCs. Excluding PPCs, normalized ASP increased 3% to \$2,900 driven by continued strong collections. Turning to gross margin operating expenses, I'll focus on our non-GAAP results. Non-GAAP gross margin was 75.7% of 350 basis points year over year driven by strength in our testing business and an improved business mix. Testing gross margin increased 230 basis points to 76.4%, reflecting operational efficiencies from our V2 transcriptome workflow and higher prior period collections in the quarter as well. Non-GAAP operating expenses increased 7% year-over-year to \$64.6 million. As Mark highlighted with the addition of our new Chief Development and Technology Officer, certain IT expenses associated with software development and project management previously reported in GMA have been moved directly into R&D as they are fully dedicated to our product development objectives. As a result, R&D expense increased \$8.5 million year-over-year to \$24.1 million, driven by our organizational changes and clinical investments partially offset by a reduction of allocated expenses. Sales and marketing expense increased \$2.2 million to \$24.7 million reflecting hiring and investments to support our existing portfolio and prepare for the upcoming launches of Prosigna LDT and Troom MRD in MIBC. G&A expense decreased \$6.6 million to \$15.8 million, primarily due to the organizational changes previously mentioned. From a profitability standpoint, we delivered GAAP net income of \$28.7 million in the quarter, Adjusted EBITDA was 42.8 million, or 30.8% of revenue, up 73% year-over-year, and well above our long-term target of 25%. This level of profitability underscores the operating leverage we've built over the last five years and provides the flexibility to continue investing in our growth drivers while generating meaningful cash. Turning to our 2026 outlook, we are raising full-year total revenue guidance to 582 million, to \$592 million, representing 13 to 14 percent year-rear growth compared to our prior range of \$570 million to \$582 million. This reflects expected testing revenue growth of 16 to 18 percent, excluding the contribution of new tests, with deciphered revenue growth of approximately 20 percent and a firmer revenue growth in the high single-digit to low double-digit range, benefiting from improvements in our no-result rate. As a reminder, our guidance excludes any potential prior period collections in future quarters. Given the strong start to the year, we are also increasing our full year adjusted EBITDA guidance to greater than 26%. This outlook reflects our updated revenue expectations and continued investment to support our growth initiatives throughout the year. As always, while we plan expenses on an annual basis, adjusted EBITDA may fluctuate quarter to quarter due to the timing of investments and PPC variability. In closing, the financial performance we delivered this quarter reflects the significant transformation Mark described. Five years of disciplined execution that have created a much more scalable, profitable, and resilient business. As we approach the next inflection point with multiple important product launches ahead, We are well positioned to build on this momentum, further strengthen our financial foundation, and continue expanding our impact. Most importantly, we remain focused on supporting more patients across their cancer care journey while creating long-term shareholder value. We will now move into the Q&A portion of the call. Operator, please open the lines.

OPERATOR Operator

Thank you. At this time, we will conduct the question and answer session. As a reminder, to ask a question, you will need to press star 1-1 on your telephone and wait for your name to be announced. To withdraw your question,

please press star 1-1 again. Our first question comes from the line of Puneet Sudha of LeRinc Partners. Your line is now open.

PUNEET SUDHA Analyst, LeRinc Partners

Thanks again. So thanks for taking my questions here. Maybe, Mark, Rebecca, I just wanted to understand on the no result rate and the improvement that you're getting from transcriptome. Could you talk about what's the ceiling there? How should we think about the next set of quarters as that benefit continues to both give you upside on the top line as well as the bottom line?

MARK STAPLEY Chief Executive Officer

Yeah, thanks, Vinit. Happy to. You know, I'll start and then Rebecca will talk about the financial impact of it. But just to remind everybody what the benefit of the no result rate is actually coming from. As you know, we transitioned our entire Affirma workflow to the new UA, you know, we call it the version two transcript terms. and that was kind of a staged launch in Q4 with a full launch by the end of the quarter. And now, of course, we're seeing our first quarter of full benefit from that. And frankly, you know, it's surprising us in terms of how much better that particular assay is of being able to recover those samples that previously would have otherwise been lost. And I think, you know, most importantly, there's a great financial impact, but most importantly, there's a real patient and physician customer impact of being able to provide a result and an answer more often than we were previously. And so I couldn't be happier or more proud of our team for having accomplished that project. By the way, it was not a simple project. It was a long and complex project, but the great benefit of it is that same platform is now available by our other tests, and the first and next test that's going to use it post-Affirma is actually going to be our ProSigna test. Now I'll hand over to Rebecca to talk about the financial impact.

REBECCA CHAMBERS Chief Financial Officer

Yeah, happy to. Thanks for the question, Puneet. During the quarter, it was a 400 basis point good guy to volume growth, and so I do think that's about as good as it's going to get. It's obviously way above our expectations that we cited in our original guide coming into the year for Affirma. If you recall, that original guide included a no-result rate expectation of 0% to 2% for that mid-to-high single-digit AFRMA revenue growth guide. Now we've updated it to be high single-digit to low double-digit growth, and that includes a 2% to 3% assumption. One thing to note on that, the reason why that assumption is below what we saw in the fourth quarter was because there's two main factors. One, no-result rate tends to spike over the summer months with heat. And RNA degradation accordingly. And two, we do have a comp from the fourth quarter that, you know, as we started to transition and see the benefit, we cited the benefit in the fourth quarter of 25. And so for those two reasons, for the full year, we're now expecting a 2% to 3% good guy from no result rates. That flows down at 100%, and obviously, you know, huge benefit to patients, as Mark cited, and also a huge thank you to the team who has just done an amazing job on this project, and we're excited to launch Prosigna on the backbone of the new transcriptome as well here shortly.

UNKNOWN

Thanks, Rebecca. Thanks, Denise.

OPERATOR Operator

Thank you. Our next question comes from the line of Tycho Peterson of Jefferies & Co. Your line is now open.

LAUREN Analyst, Jefferies & Co.

Hey team, this is Lauren on for Tycho. A couple from me. So first for the momentum and testing revenue, how should we think about the exit philosophy of this business heading into the launch of the new products? I know you're not baking it into the revenue guidance raise, but kind of just in terms of growth in the back half of the year. And then second around the competitive mode for Decipher, how is the sales team in particular kind of positioning Decipher against newer, potentially lower cost digital pathology or AI-based competitors? Thanks.

MARK STAPLEY Chief Executive Officer

Yeah, I'm happy to deal with both of those. So on the new product introductions and the momentum in the business, as we've said, we're not including our new products, ProSignal, TrueMID, and our guides for this year. on the basis that we're going to obviously manage those launches mostly for good customer and patient impact, and then scale as we start to see the level of interest and our ability to functionalize and operationalize that in the lab. But in terms of how you think about the ramp going forward, I think it's hard to particularly call off any particular analog here. for these two products. We're launching that into a market that is very well penetrated. And so what we don't have to do that we've had to do with all of our other tests is educate physicians on why molecular diagnostics make sense in this particular patient population. What we do have to do is, on the back of strong evidence, demonstrate why Prosigna is a better test for patients. And so that's going to obviously have a different ramp and a different, you know, strategy than brand new tests in the Greenfield. Through MRD, of course, while people call it a competitive market, it's fairly well underpenetrated at this point. And so there's still a lot of education to do, particularly in the muscle invasive bladder cancer setting. Anything to add? No, please do. On the competitive mode around Decipher, you know, it's the same as we've always said. whether you're talking about DPI or other molecular diagnostics or anything else in the future that may come that purports to provide prognostic or predictive information to patients in a prostate cancer setting, we have so much evidence that's been generated for Decipher over more than a decade. And remember, most of these studies you have to have started that long ago in order to read out in this particular disease state. that it creates quite a competitive moment. It's actually, you know, people would have had to have started those studies a long time ago. Moving specifically to DPAI, I think, you know, it sits in the category of it's a recent test. It's launched in the marketplace. I think at this point, customers are quite skeptical, especially when they have discordant results, which have been demonstrated over and over again. And so, you know, our answer to that is, you know, scan every slide that we've got, and I mentioned 350,000 of those, and make that information along with the grid transcriptomes available to the community to do the appropriate research and demonstrate the utility of that particular test alongside molecular diagnostics. And remember, you know, physicians don't tend to trade one thing for another. More information is better as long as it's been clinically proven. So that's our strategy. John, I know you might want to add something there on the competitive, you know, landscape for Decipher and, you know, our other tests too.

DR. JOHN LIGHT Chief Commercial Officer

Yeah, anything else I would add would be repetitive, Mark. I think you hit everything. The only thing that I would say is that on the pricing side, I've not seen that pricing alone motivates a physician. All the other things would have to be true first, and then the pricing would be a a very late consideration in terms of driving the adoption or selection of a test.

LAUREN Analyst, Jefferies & Co.

Great. Thank you.

OPERATOR Operator

Thank you. Our next question comes from the line of Doug Schenkel of Wolf Research. Your line is now open.

DOUG SCHENKEL Analyst, Wolf Research

Hi. Good afternoon, and thank you for taking my questions. The first topic is really a follow-up on Decipher. This is the 15th consecutive quarter of 20% plus volume growth. The market's about 33% penetrated. I think incidence growth is around 6% per year. As we sit here today, how do you think about the multi-year sustainability of 20% growth? And can you disaggregate how you're going to be able to do that, how much of its deeper penetration of existing practices, opening up new practices, and or share capture. So that's the first topic. The second is really pivoting to Optima and the upcoming ASCO readout in June. One, I'd love for you to just help us understand what's a good enough result and what would be good enough to justify really leaning in aggressively on this launch in the back half of the year. And if things do go well here, Optima enrolled patients with up to nine nodes, Oncotypes approved for up to three nodes. How do you think about this in the context of expanding the TAM, you know, and potentially getting a differentiated label and differentiated reimbursement? Thank you.

MARK STAPLEY Chief Executive Officer

Great. Thanks, Doug. I'm actually going to take the first question real quick and then ask John if he wants to add anything to that, and then he can talk to you about Optima as he's extremely close to our launch plans around that and as well as our, you know, our strategy there. So, Yeah, if you think about the Decipher growth, thanks for pulling out the consecutive and long-term growth that we've been seeing there. Yeah, Decipher's been on this very steady volume growth. Obviously, over time, penetrate more into various risk categories and the denominator gets larger, but the volume growth has been consistently larger every year and growing. And we seem to be very much on that trajectory still. And I think given the fact that we're only about a third penetrated, You know, to me, what that says is two-thirds of men dealing with prostate cancer are not getting the benefit of the insights that Decipher provides. And with the level of evidence in the NCCN guidelines supporting that test, they should. The fact that we cover every indication from low, intermediate, high, very high, metastatic, biochemical recurrence, RP, with evidence now, you know, every single one of those cancers potentially over time should be getting the test. So that's why I think we continue to see growth. I'm not guiding to whether it be 20% or not in the future, but in terms of volume, I don't see any reason why it would slow. Across the categories, intermediate is the largest penetrate and becoming more, but as I cited on the call today, we saw 30% year-over-year growth in the first quarter in the high-risk categories, and we've got multiple studies coming out in the next few years that cover low-risk and active surveillance as well. So those are the things that we're going to continue to drive growth in Decipher for, I think, many years to come.

REBECCA CHAMBERS Chief Financial Officer

And also, we're quite excited about the enzyme trial that will be for the MEDISAG population here at ASCO as well.

MARK STAPLEY Chief Executive Officer

Yeah, there's a steady drumbeat of evidence around the site that keeps it going. On Optima, John, do you want to answer Doug's question?

DR. JOHN LIGHT Chief Commercial Officer

Certainly. So thanks, Doug, for the question. You know, I think, unfortunately, the bar is quite high on Optima. It'll require... a positive outcome on the primary endpoint, which is a demonstration of non-inferiority against the control for the predictive claim. And we've said all along we believe we need to have that data to merit level 1A evidence that would drive, we hope, inclusion into the guidelines so that we can minimally be on par with the product on market today. And I hope to differentiate with the latest clinical utility data and the performance of the test.

MARK STAPLEY Chief Executive Officer

Thanks, John. And Doug, I do think the nodal status there is an important component. And I think that more than that, it's the breadth of what the Optima study actually addressed and, you know, how it dealt with both the premenopausal and post-menopausal as well. And so just, you know, it's a very well-designed, well-engineered study. And, you know, of course, our launch is dependent on it reading out appropriately and favorably. And we hope that'll be the case on the 30th of May, which is Saturday coming up at the end of the month.

REBECCA CHAMBERS Chief Financial Officer

And importantly, also, the hiring is going quite well. We're building the team. And if we saw, you know, positive Optima readout, guideline inclusion, publication, all that stuff, we would turn to be more aggressive there, Doug. I would think that would be kind of an exiting the year sort of decision. But we're, you know, we're excited about the opportunity for Prosigna to be a multiyear growth driver here for the company going forward.

DOUG SCHENKEL Analyst, Wolf Research

Okay. Thanks very much, Tim.

OPERATOR Operator

Thank you. Our next question comes from the line of Subbu Nambi of Guggenheim. Your line is now open.

SUBBU NAMBI Analyst, Guggenheim

Hey, guys. Thank you for taking my questions. You're raising guidance by a few million more than the BEAT, and the guidance still does not include the impact of new tests. It sounds like most of the race is for Affirma, as you reiterated your Decipher Revenue Growth Outlook of approximately 20 percent. Is there any additional details you can share as to what are you expecting now for Decipher Volume and ASPs?

REBECCA CHAMBERS Chief Financial Officer

Yeah, thanks for the question, Subbu. You're absolutely right. raise the guidance by the beat, and then a little bit more at the mid-point for the raise and affirma. Decipher, you know, plus or minus a day of volume at any given point in time is kind of what we expect, and this quarter was no different. It was a good quarter, but the outlook for the rest of the year is kind of around that 20% guide that we had coming into the year. In prior years, we had a really big step up sequentially in the second quarter for Decipher, given the timing of guidelines. And this year, the timing of guidelines was in the back half of the prior year. And so that is one factor we have taken into account in this guide on a sequential basis. Competitively, we remain incredibly strong. The outlook for Decipher is immensely strong. ASP, as I cited on the call, was up meaningfully, ex-PPCs. And so You know, I think when it comes down to it, the trends of the business are immensely strong, and the raise of the guide reflects those trends as well as the fact that we only have one quarter under our belt.

SUBBU NAMBI Analyst, Guggenheim

Thank you for that, Rebecca. And now one additional question. As you think about your next commercial indication for 2-MRD beyond MIBC, you mentioned studies have been completed in MIBC, CRC, lung and ongoing studies and other indication. Can you help us understand where are you in the process of selecting the next indication and what your strategic priorities will be for the next indication?

MARK STAPLEY Chief Executive Officer

Yeah, as I mentioned on the call, we've got a lot of studies and you cited them in progress, and that keeps growing. And, you know, we have a regular strategic planning process. Our next kind of readout on that and, you know, coming together, huddling on that is in the summer, in July. And, you know, we'll continue to advance our thinking around that

there. In the meantime, our priority remains, you know, getting our MIBC product launched, you know, getting our reimbursement coverage for that. and then starting to penetrate that muscle-invasive bladder cancer market. So no new updates on the next launch and when that will be. And again, as I've said multiple times, I think typically won't necessarily give the what's coming when because, again, we don't want to do R&D in public because things change so often and we may flip the order of things. And sometimes that can be viewed as something's negative changing when in fact it's not. We have better opportunities We're constantly trading off here, and it's all going to be driven by the evidence and timing of the evidence coming out.

OPERATOR Operator

Thank you so much.

LAUREN Analyst, Jefferies & Co.

Thanks.

OPERATOR Operator

Thank you. Our next question comes from the line of Mason Carrico of Stevens, Inc. Your line is now open.

MASON CARRICO Analyst, Stephens

Hey, guys. Thanks for taking the questions. In terms of the ProSigna LDT, if the Optima study reads out in June, Do you think it could be published before the NCCN breast cancer panel meeting that I think is in August so that it could be included in that review?

MARK STAPLEY Chief Executive Officer

I don't know, John, if you have any more information, but I don't think so. I think that might be a little bit too optimistic. Let me be clear. The publication might come out before then, but whether it influences the guidelines, we just don't know. And, you know, frankly, again, if you look at our past history and our indications, we haven't needed guidelines to get good traction. Guidelines have been an additional catalyst further down the road. John, anything else you got on the publication or guidelines for breast?

DR. JOHN LIGHT Chief Commercial Officer

Well, you know, you answered it appropriately. We just don't know. I think if the publication comes out early enough, it's entirely possible with a high enough impact that the NCCM would consider late-breaking data and have a discussion That's sufficiently robust to perhaps include it in the guidelines, but that's purely speculative. It's not outside the realm of possibilities, but we don't know what they may or may not do.

MASON CARRICO Analyst, Stephens

Got it. And then, were deciphered volumes impacted at all in the quarter by weather? And if so, could you quantify that impact?

REBECCA CHAMBERS Chief Financial Officer

Yeah, Mason. So, you know, the weather was slightly worse than it was, you know, versus the prior year, but it got primarily caught up during the quarter as we exceeded our expectations during the quarter. And so I don't want to quantify it. You know, we've always said plus or minus a day of volume, which tends to be, you know, four or five hundred samples or so can fall on any given side of a quarter. And, you know, I think we were pleased with the performance of the Decipher franchise during the first quarter this year, despite challenging weather.

MASON CARRICO Analyst, Stephens

Got it. Thank you, guys.

OPERATOR Operator

Thank you. Our next question comes from Kyle Mixon of Canaccord Genuity. Your line is now open.

KYLE MIXON Analyst, Canaccord Genuity

Hey, guys. Thanks for the questions. Congrats on the great quarter. On Affirma, I guess like on the pricing stuff, can you just talk about private period collections for that test specifically and how you sort of think about visibility and ASP upside to that test, but it seems like volume growth is, you know, relatively could be steady, so I think that pricing could be the one variable, perhaps. But let me know if I'm wrong. Thanks.

REBECCA CHAMBERS Chief Financial Officer

Yeah, so volume growth, sorry, the guide of high single digits to low double digits includes the Q1 prior periods, and the Q1 prior periods for Affirma was about half of the total 4 million of prior periods, which is much more than usual. We don't assume prior periods in our guide going forward. Ex prior periods, a firma ASP was up around 100 basis points and Decipher was up, you know, above that to get to that blended average of three. So, you know, I don't think there's as much room on a firma just given the duration of how long it's been on the market and the 280 million covered lives here. There's more upside in Decipher over a multi-year period and that ex PPCs is what manifested during the quarter.

KYLE MIXON Analyst, Canaccord Genuity

Awesome. Thanks, Rebecca. And then you guys have been profitable for a while. You have a bunch of cash, just really outstanding EBITDA margins quarter in, quarter out. So how do you guys think about capital allocation going forward? And with respect to M&A, what would be some interesting, what would be some attractive attributes to a potential target? Is the large TAM important? Is nearing reimbursement critical? Just maybe talk about that a bit.

MARK STAPLEY Chief Executive Officer

I mean, no real change in our philosophy there. We're always active in the market with B2C. We look at everything, but we're quite discerning. For us, we have a strategy. It's oncology-based strategy. It's whole data-driven strategy as well. And so things that fit with that would make most sense. And that doesn't mean we wouldn't do other tuck-ins as well and technology plays and things that help us advance that strategy. You know, with our financial profile, you know, the strong revenue growth that we're consistently delivering and the strong profitability, you know, we think about, you know, if other assets would be diluted to that, and we take that into account accordingly. All right. Thanks, Mark. Thanks.

OPERATOR Operator

Thank you. Our next question comes from the line of Keith Hinton of Freedom Capital Markets. Your line is now open.

UNKNOWN

Are you there, Keith? Okay. All right. I think that was that the last question?

OPERATOR Operator

Yes. Okay. I'm showing no further questions at this time. Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.